

VALUATIONS AND RETURNS OF INDICES

leg-up to defence stocks, which also largely fall in the mid-cap space and enhanced overall performance, says Chandrachoodamani NV, Senior Equity Analyst, Primeinvestor.in.

G. Chokkalingam, Founder and CIO at Equinomics Research, explains: "The mid- and small-cap space has been rich with new themes and growth opportunities that are missing from the Sensex or Nifty stocks. This explains why BSE SmallCap and MidCap indices now command a high premium over large-caps."

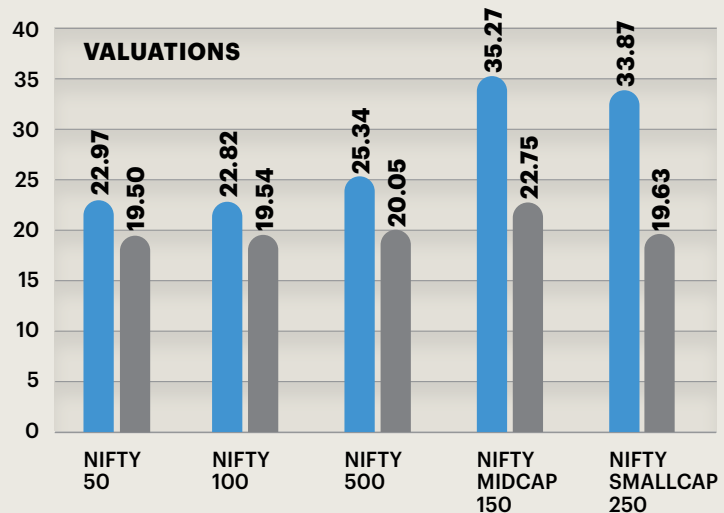
Akshay Tiwari, Associate Vice President and Research Analyst at Asit C. Mehta Financial Services, says that midcaps in the banking sector like L&T Finance are performing because of their strong asset quality, loan portfolio and superior technology.

DOES THE RALLY HAVE LEGS LEFT?

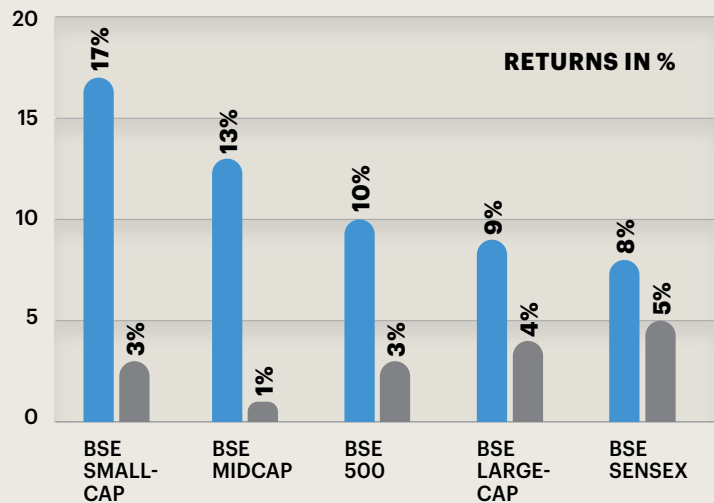
Despite the euphoria of the rally in the broader markets, several industry experts strike a cautionary note.

Chandraprakash Padiyar, Senior Fund Manager, Tata Mutual Fund, notes that though profit-to-gross domestic product has climbed from 1.7% in FY19 to 5.3% in FY25, future earnings divergence is inevitable.

Padiyar says, "We believe the profit-to-GDP ratio is likely to cross the previous peak of 6.8%, which means that Indian corporates in the listed space have a reasonable runway to continue to deliver earnings growth over the next few years." Though he believes that earnings have more room to grow, the pace of growth will move closer to nominal GDP growth with larger divergences. However, he does expect divergences in earnings delivery on an incremental basis, which means that stock selection will be increasingly very important. "Not all firms will be able to grow earnings over



● PRICE-TO-EARNINGS RATIO (P/E) AS OF 30 JUNE 2025 ● P/E RATIO AS OF 30 JUNE 2022 **SOURCE** ACE EQUITY, DATA AS ON JUNE 30, 2025



● RETURN SINCE MARCH END 2025 ● 1 YEAR RETURN **SOURCE** ACE EQUITY, DATA AS ON JUNE 30, 2025

